FREED — Company Overview

1. What is FREED?

FREED is a **Indias' first and most trusted debt relief platform** that helps consumers eliminate their debt. The platform is designed for individuals who are struggling with multiple loans, high interest payments, or financial hardship.

The company provides **structured programs, credit insights, and financial guidance** to help borrowers regain control over their financial lives and become debt-free. (freed.care)

FREED positions itself as **India's first comprehensive debt relief platform**, focused on helping borrowers resolve unsecured debt such as credit cards and personal loans. (freed.care)

The platform combines:

- Credit Insights
- Debt counselling
- Debt settlement
- Debt consolidation
- Structured repayment strategies for DEP
- Guidance on good credit practices

Through these services, FREED aims to help consumers transition from **financial stress to financial freedom**.

2. Vision

FREED's vision is, To be the most trusted and result-driven loan settlement company, empowering individuals to live free from financial stress. (freed.care)

3. Mission

FREED's mission is:

To help loan-burdened consumers resolve their obligations, rebuild their credit health, and regain true financial freedom. (freed.care)

The company focuses on three key outcomes:

1. **Resolving existing debt**
2. **Restoring financial stability**
3. **Improving long-term credit health**

4. The Problem FREED Solves

Consumer debt in India has grown rapidly due to:

- Easy availability of personal loans
- Credit card penetration
- Buy Now Pay Later products
- App-based lending platforms

Many consumers fall into a **debt cycle**, where they:

1. Take new loans to repay old loans
2. Pay only minimum dues
3. Face increasing interest costs
4. Eventually fall into delinquency.

FREED's founders observed that **many borrowers lack structured guidance** to deal with debt and end up trapped in a cycle of borrowing. (freed.care). Traditional lenders focus on **issuing loans**, but very few institutions help borrowers **recover from debt stress**. FREED was built to fill this gap.

5. Philosophy Behind FREED

One of the core principles of FREED is:

Breaking the debt cycle instead of extending it.

Unlike many financial platforms, FREED **does not provide new loans directly** to help repay old loans. Instead, it focuses on:

- Negotiation with creditors
- Structured repayment planning

- Financial discipline

6. FREED’s Approach to Debt Relief

FREED uses a structured approach to help customers become debt-free.

The process generally includes:

Step 1 — Financial Assessment

The customer’s financial situation is analyzed using:

- Credit report
- Outstanding loans and their monthly payments
- Repayment capacity
- Delinquency status

Step 2 — Program Eligibility

Based on the customer’s profile, they are recommended one of FREED’s programs.

Step 3 — Debt Strategy

A tailored plan is created that may include:

- Debt consolidation
- Debt settlement
- Debt Elimination

Step 4 — Execution

FREED works with creditors and financial institutions to execute the plan.

Step 5 — Debt Resolution

The customer gradually eliminates outstanding debt.

7. Core Values

FREED operates on three core values:

Empathy

Understanding the emotional and financial stress caused by debt.

Passion

A strong commitment to helping customers regain financial control.

Service

Providing transparent and responsible financial guidance. These values guide the company's interactions with customers and its product design. (freed.care)

8. Products and Services Offered by FREED

FREED offers several solutions to address different types of financial situations.

Debt Elimination Program (DEP)

A structured plan to accelerate debt repayment and reduce interest.

Debt Consolidation Program (DCP)

Combines multiple debts into a single loan with a lower EMI.

Debt Resolution Program (DRP)

Negotiates settlements with lenders for customers facing severe financial hardship.

These programs are supported by:

- Credit insights
- Financial goal tracking
- Debt counseling
- Financial education

9. Customers Served

FREED primarily serves individuals with:

- Personal loans
- Credit card debt
- BNPL debt
- App-based lending debt
- Secured loans (strictly only in case of Debt elimination)
- Individuals figuring out ways to understand their credit better.

Unsecured loans, which means they are not backed by collateral.

Customers may range from:

- Individuals managing multiple loans
- Borrowers struggling with EMIs
- People facing delinquency
- Individuals looking to manage their credit well.

10. Impact and Scale

According to the company's website:

- **20,00,000+ customers counselled**
- **₹3,200+ crore debt managed**
- **15,000+ accounts settled**
- **4.7 / 5 customer rating (3000+ reviews)** (freed.care)

These metrics demonstrate FREED's scale in helping Indian borrowers manage debt.

11. Customer Support and Counselling

FREED provides access to **debt counsellors** who guide customers through the debt relief process.

Customers can:

- Speak with counsellors
- Get financial advice
- Understand debt relief options
- Receive help managing creditor interactions

The counselling process is designed to help customers **make informed decisions about their financial future**. (freed.care)

12. Operating Model

FREED operates as a **technology-enabled debt relief platform**.

Key aspects of its model include:

- Digital onboarding through app and website
- Credit report analysis
- Personalized debt strategies
- Negotiation with lenders
- Structured repayment programs

The platform combines **technology, financial expertise, and counselling** to deliver debt relief solutions.

Section 2 — Customer Segments

Customers on the FREED platform are categorized into different segments based on their **credit report data, repayment capacity, and delinquency status**.

This segmentation helps FREED determine:

- Which financial programs the customer qualifies for
- What insights or tools should be shown on the dashboard
- What recovery or optimization strategy is most suitable

Segmentation is primarily derived using:

- Credit score
- Number of active loans
- Loan types

- Delinquency status
- Total outstanding debt
- Monthly obligations
- FOIR (Fixed Obligation to Income Ratio)

1. NTC (New to Credit)

Description

NTC refers to consumers who **do not have any credit history** in the credit bureau. These individuals have never taken a loan or credit card, or their credit record has not yet been established in the bureau systems.

Since there is no credit history available, the platform cannot analyze their credit behaviour or offer debt-related solutions.

These users are typically **first-time borrowers or individuals exploring credit options**.

Eligibility Criteria

A customer is classified as **NTC** if:

- No credit accounts are present in the credit report
- No loan history exists in the bureau data
- Credit score is unavailable or not generated

2. Others

Description

The **Others** segment includes consumers who have **credit history but do not currently have any active loans or credit card balances**.

These users may have borrowed in the past and repaid their obligations, but they currently do not carry any outstanding debt. For these users, FREED focuses on **credit awareness and improvement tools** rather than debt programs.

Eligibility Criteria

A customer is classified as **Others** if:

- Credit history exists
- No active loan accounts are present
- No active credit card balances exist
- No current EMI or minimum dues appear in the credit report

3. DEP (Debt Elimination Program Segment)

Description

The DEP segment includes consumers who **have active loans or credit card balances and have the financial capacity to repay them comfortably.**

These users are not delinquent and can benefit from a **structured repayment strategy to reduce interest, tenure and become debt-free faster**. They have a FOIR less than 50%

The DEP program focuses on **optimizing repayments rather than restructuring or settling debt**.

Eligibility Criteria

A customer is classified under the **DEP segment** if:

- Active loans or credit card balances exist
- Repayment behaviour is strictly regular
- FOIR is less than 50%
- No delinquency
- Customer has the financial capacity to allocate surplus funds toward accelerated repayment

4. DRP Eligible

Description

DRP Eligible customers are consumers who are **experiencing severe financial distress and are unable to repay their debt obligations in full**.

These customers typically have **delinquencies on their credit accounts and may already be facing collections or legal pressure from lenders**.

For such users, FREED offers the **Debt Resolution Program (DRP)**, which focuses on negotiating settlements with lenders.

Eligibility Criteria

A customer is classified as **DRP Eligible** if:

- One or more unsecured loans are delinquent
- Payment defaults are recorded in the credit report
- Outstanding debt is significantly high relative to repayment capacity
- FOIR is extremely high or repayment capacity is insufficient
- The customer may already be in collections or late payment cycles

5. DRP Ineligible

Description

DRP Ineligible customers are consumers who may have debt but **do not meet the criteria required for debt settlement programs**.

Their credit behaviour or financial profile may **still have the capacity to repay their loans without requiring settlement**. Or They have delinquency on creditors which FREED do not service or the creditors with delinquency could be a secured creditor Or

the total outstanding in unsecured loan is less than the minimum required outstanding to be enrolled into the debt settlement program.

Eligibility Criteria

A customer is classified as **DRP Ineligible** if:

- They have delinquency
- The user may still have repayment capacity
- Unserviceable creditors
- Delinquency on secured creditors
- Outstanding amount not enough to be enrolled.

6. DCP Eligible

Description

DCP Eligible customers are consumers who **have multiple loans or credit card balances and are facing difficulty managing multiple interest EMIs**.

While they may still be making payments, their **monthly repayment burden is too high relative to their income FOIR greater than 50%**

For these users, FREED offers the **Debt Consolidation Program (DCP)**, which combines multiple debts into a single structured repayment plan.

Eligibility Criteria

A customer is classified as **DCP Eligible** if:

- Multiple loan accounts or credit cards exist
- Monthly EMI burden is high
- FOIR exceeds manageable levels (greater than 50%)
- Customer is still largely current on repayments
- Consolidation into a single structured loan can reduce EMI stress
- Credit score is greater than 700
- Minimum unsecured debt required for enrolment ₹1,50,000

7. DCP Ineligible

Description

DCP Ineligible customers are consumers who have debt but **do not meet the criteria for loan consolidation**.

This could occur because:

- They have credit score less than 700
- They have an outstanding debt less than ₹1,50,000

Such customers may instead be directed toward **credit insights product.**

Eligibility Criteria

A customer is classified as **DCP Ineligible** if:

- No unsecured loan
- Credit score less than 700
- Total outstanding unsecured debt less than ₹1,50,000

15. Brand Positioning

FREED positions itself as:

"Your partner for debt freedom."

The company aims to help consumers move from:

Debt Stress → Structured Recovery → Financial Freedom

Below is a **structured draft for Section 3 of the knowledge base**. I've kept it **clear, factual, and neutral** (important because these programs affect consumers' credit and finances). The explanations are aligned with how the programs are described in the product flow and program logic.

Section 3 — FREED Programs

FREED offers three primary programs designed to help consumers deal with debt depending on their **financial health, repayment capacity, and delinquency status**.

These programs are:

- **DEP — Debt Elimination Program**
- **DCP — Debt Consolidation Program**
- **DRP — Debt Resolution Program**

Each program serves a **different stage of financial stress**.

Financial Stage	Program
Healthy but may be paying high interest, FOIR < 50%	DEP
Struggling with multiple high interest EMIs, FOIR > 50%	DCP
Already delinquent and unable to repay	DRP

The system determines eligibility using the consumer's **credit report, income, outstanding debt, and FOIR (Fixed Obligation to Income Ratio)**.

1. DEP — Debt Elimination Program

What is DEP?

The **Debt Elimination Program (DEP)** is a structured repayment strategy that helps consumers **pay off their loans faster and reduce the total interest paid**.

Instead of paying only the scheduled EMI or minimum dues, DEP encourages consumers to **allocate additional funds toward debt repayment**, which accelerates loan closure.

The system analyzes all active loans and credit card balances and generates a **customized repayment plan**.

Who is it for?

DEP is designed for consumers who:

- Have active loans or credit cards
- Are currently able to make their payments
- Want to **reduce interest burden**
- Want to **become debt-free faster**
- Have some surplus monthly income
- FOIR less than 50%

Typical users:

- Salaried individuals with multiple loans (secured and unsecured) & credit cards
- People paying only minimum dues on credit cards
- Consumers paying high interest on unsecured loans

Process

Step 1 — Credit Analysis

The platform analyzes the consumer's credit report, including:

- Active loans
- Outstanding balances
- EMIs
- Interest rates

Step 2 — Income and Commitment

The consumer enters:

- Monthly income
- Monthly amount they can allocate for debt repayment

Step 3 — Program Simulation

The system calculates:

- Optimized repayment sequence
- Potential interest savings

- New debt-free timeline

Step 4 — Plan Generation

The consumer generates their personalized DEP plan.

Step 5 — Execution

The consumer follows the repayment strategy suggested by the platform.

Advantages for Consumers

1. Faster debt repayment

Loans can be paid off earlier than the original schedule.

2. Reduced interest cost

Paying down principal faster reduces total interest paid.

3. Better credit health

Lower outstanding balances improve credit utilization.

4. Structured plan

Consumers receive a clear repayment roadmap.

Disadvantages for Consumers

1. Requires financial discipline

Consumers must consistently allocate surplus funds.

2. Reduced short-term liquidity

Higher repayments may reduce monthly spending capacity.

2. DCP — Debt Consolidation Program

What is DCP?

The **Debt Consolidation Program (DCP)** helps consumers combine multiple high interest debts into **one consolidated loan with a single EMI**.

This reduces the complexity of managing several loans and can potentially lower the overall monthly repayment burden.

Instead of managing many EMIs and credit card dues, the consumer pays **one structured EMI**.

Who is it for?

DCP is suitable for consumers who:

- Have multiple high interest loans or credit cards debts
- Are struggling to manage several EMIs
- Have high monthly repayment obligations
- Still have sufficient creditworthiness to qualify for consolidation
- FOIR greater than 50%

Typical users:

- People with 3–6 personal loans
- Consumers with high credit card balances
- Borrowers with rising EMI stress

Process

Step 1 — Debt Assessment

The platform identifies:

- All outstanding debts
- Current EMIs
- Interest rates

Step 2 — Consolidation Simulation

The system estimates a consolidated loan that covers the total outstanding amount.

Step 3 — EMI Calculation

A new EMI is calculated based on:

- Consolidated principal
- Tenure
- Interest rate

Step 4 — Enrollment

The consumer enrolls in the consolidation program.

Step 5 — Loan Issuance

The consolidated loan replaces multiple debts.

Advantages for Consumers

1. Single EMI

Easier debt management.

2. Lower monthly burden

Consolidation may reduce monthly repayment obligations.

3. Reduced complexity

Consumers deal with one payment instead of multiple lenders.

4. Structured repayment schedule

Disadvantages for Consumers

1. Longer repayment tenure

Consolidation may extend the loan duration.

2. Total interest may increase

A longer tenure can increase total interest paid.

3. DRP — Debt Resolution Program

What is DRP?

The **Debt Resolution Program (DRP)** helps consumers **settle their outstanding debts for less than the total amount owed**.

This program is typically used by consumers who are already facing serious financial hardship and cannot repay their loans in full.

The platform negotiates with lenders to reach a **settlement agreement**.

The repayment with FREED is estimated as a combination of:

- Settlement amount
- Service fee
- Applicable taxes.

Other than this, the consumers are charged a one-time evaluation fee for a thorough evaluation of their profiles which includes credit report analysis, financial options evaluation, settlement plan creation.

Who is it for?

DRP is intended for consumers who:

- Have already missed payments
- Are facing collections
- Cannot repay their full outstanding debt
- Are experiencing severe financial distress

Typical users:

- Borrowers with delinquent credit card debt
- Individuals facing loan recovery calls
- Consumers whose EMI burden is no longer manageable

Process

DRP (Debt Resolution Program) — Process

The **Debt Resolution Program (DRP)** helps consumers settle their outstanding loans for a reduced amount through structured negotiation with lenders.

The process is designed to move consumers from **financial distress to structured debt resolution**.

Below is the step-by-step journey.

Step 1 — Free Credit Assessment

The process begins with a **free credit check and debt assessment**.

During this step, the platform evaluates:

- All active loans and credit cards
- Total outstanding balances
- Repayment history
- Delinquency status
- Consumer repayment capacity

This helps determine whether the consumer is eligible for the **Debt Resolution Program** and what settlement opportunities may exist.

Outcome

- Debt profile created
- Eligibility for settlement assessed

Step 2 — Personalised Debt Resolution Plan

Once the assessment is complete, FREED creates a **personalized repayment and settlement strategy**.

The plan determines:

- Which accounts can potentially be settled
- Estimated settlement amount
- Monthly contribution required from the customer
- Estimated timeline to complete settlements

The strategy ensures the settlement plan **fits within the customer's financial capacity**.

Outcome

- Structured debt settlement roadmap
- Monthly savings or payment commitment defined

Step 3 — No Upfront Fees

FREED does not charge any **upfront program fees**.

Instead, program fees are typically structured so that customers pay **in stages as the settlement process progresses**.

This aligns incentives between the customer and the service provider.

Outcome

- Customers can begin the process without large upfront costs
- Fees are linked to progress in the settlement journey

Step 4 — Harassment Support

Many consumers entering debt resolution face **frequent recovery calls from lenders or collection agencies**.

FREED provides support to help customers manage these situations.

This may include:

- Guidance on handling recovery calls
- Escalation support
- Pre-dispute assistance with lenders

The goal is to reduce stress while the settlement process is underway.

Outcome

- Reduced pressure from recovery interactions
- Customers receive structured guidance

Step 5 — FREED Shield Protection

During the program, customers may receive access to **FREED Shield**, which provides additional support in handling harassment or disputes.

Customers can:

- Upload proof of harassment
- Escalate complaints to lenders
- Seek assistance in addressing unfair collection practices

This provides an additional layer of support while negotiations are ongoing.

Outcome

- Customers receive protection mechanisms
- Complaints can be escalated directly

Step 6 — Negotiated Settlement with Lenders

The core part of the program involves **negotiating with lenders** to reduce the total amount owed.

The settlement negotiation typically aims to:

- Reduce the outstanding balance
- Reach a mutually acceptable settlement amount
- Close the loan account through a settlement agreement

Once an agreement is reached, the customer pays the negotiated settlement amount.

Outcome

- Debt settled for a reduced amount
- Loan account closed with the lender

End Result for the Consumer

At the end of the process:

- The outstanding debt is resolved
- The customer clears the negotiated settlement amount
- The loan account is closed

This provides a path for the consumer to **move toward financial recovery and rebuild their financial life**.

Advantages for Consumers

1. Reduced debt burden

Consumers may settle for less than the total outstanding.

2. Structured settlement process

Professional negotiation with lenders.

3. Relief from financial pressure

4. Clear path toward financial recovery

Disadvantages for Consumers

1. Credit score impact

Settlement may negatively affect credit score.

2. Settlement remarks in credit report

3. Future credit access may be more difficult

4. Requires discipline during settlement process

Program Comparison

Feature	DEP	DCP	DRP
Target users	Financially stable borrowers	EMI-stressed borrowers	Delinquent borrowers
Debt reduction	No	No	Yes
Credit score impact	Positive	Neutral	Negative
Number of EMIs	Multiple	Single	Settlement payments
Focus	Faster repayment	EMI simplification	Debt settlement

Section 4 — Product Offerings

FREED offers a set of digital tools and programs designed to help consumers **understand their credit, manage debt, and improve their financial health**.

These offerings combine **credit intelligence, repayment optimisation, and financial guidance**.

The key offerings include:

- Credit Insights
- Debt Elimination Program (DEP)
- Debt Consolidation Program (DCP)
- Debt Resolution Program (DRP)
- Goal Tracker
- FREED Shield
- Payment Reminders
- Credit Report Details

Each offering serves a specific purpose in helping users move toward **financial stability and long-term credit health**.

1. Credit Insights

Credit Insights is a personal credit coaching product offered at **₹99 per month**. It is designed for anyone who has taken any form of credit—or plans to in the future.

Upon subscribing, users gain access to their **latest credit score along with a clear explanation of what it means**. The platform highlights what is positively or negatively impacting the score, helping users focus on the right areas for improvement.

Each month, subscribers receive a **personalised video** that breaks down their credit report in simple, easy-to-understand language.

A built-in **Goal Tracker** helps users plan for credit growth, loan readiness, or other financial goals, while a detailed **Credit Wrap report every six months** offers a comprehensive view of progress.

Credit Insights functions like a **health check-up for credit**—empowering users to take control of their financial journey, one step at a time.

Key Features

Credit Score Access

Users can view their latest credit score and understand its meaning.

Score Factor Analysis

The platform explains the key factors affecting the user's credit score, including:

- Payment history
- Credit utilisation
- Credit mix
- Credit age
- Credit enquiries

Personalised Credit Video

Every month, users receive a video explaining:

- changes in their credit report
- factors affecting their score
- recommended actions

Credit Wrap

A detailed report generated every six months summarising the user's credit journey.

Goal Tracker

Helps users track and achieve credit-related goals.

5. Goal Tracker

The **Goal Tracker** helps users set and achieve credit-related goals such as:

- improving credit score
- qualifying for a loan
- reducing credit utilisation.

The tracker creates a **six-month roadmap** for credit improvement based on the user's credit profile.

Features

- Visual progress tracking
- Actionable credit improvement steps
- Score improvement projections

If the goal is not achieved within the suggested period, the system recalibrates and generates a **new goal plan** based on the updated credit profile.

6. FREED Shield

FREED Shield provides users with tools to handle harassment or unfair practices from recovery agents or lenders.

This feature is particularly useful for consumers who are **facing collections or dispute situations**.

Features

- Upload harassment proof
- Escalate complaints to lenders
- Support in handling recovery communications

This feature helps provide **peace of mind and protection** during difficult financial situations.

Below is a **structured knowledge-base writeup for FREED Shield** based on the sections you specified. I've written it in a **neutral, documentation-style tone** so it fits well into your **FREED internal knowledge base**.

1. What is FREED Shield?

FREED Shield is a support feature offered by FREED to help borrowers handle **harassment or unfair practices from recovery agents and lenders**. It is designed to provide consumers with a safe and structured way to report incidents of harassment and escalate them to the appropriate parties.

When borrowers fall behind on loan or credit card payments, they may face repeated recovery calls or aggressive collection practices. FREED Shield helps users deal with such situations by enabling them to **document and report harassment directly through the platform**.

The feature allows users to upload evidence such as call recordings, screenshots, or other documentation of harassment. Once submitted, these reports can be reviewed and escalated to the concerned lender or appropriate authority if necessary.

FREED Shield aims to ensure that borrowers are treated fairly and that collection practices remain **ethical and compliant with regulatory guidelines**.

2. How FREED Shield Works

FREED Shield provides a simple process that allows users to report and escalate harassment incidents.

Step 1 — Report the Incident

If a borrower experiences harassment from a recovery agent or lender, they can report the incident through the FREED Shield section within the platform.

Step 2 — Upload Supporting Evidence

Users can upload evidence related to the incident. This may include:

- call recordings
- screenshots of messages
- photos
- written descriptions of the event.

Providing evidence helps strengthen the complaint and enables proper evaluation of the incident.

Step 3 — Review and Escalation

Once the evidence is submitted, the case is reviewed. If required, the complaint can be escalated to the concerned lender or relevant authority for further action.

Step 4 — Resolution Support

The borrower receives guidance on how to manage the situation and what steps may follow.

This process helps ensure that recovery practices are conducted **within the legal and ethical framework defined for lenders and recovery agents**.

3. Understanding Types of Harassment

Borrowers may encounter different forms of harassment during loan recovery processes. FREED Shield helps users report such incidents when recovery practices become inappropriate or abusive.

Some common types of harassment include:

Repeated or Excessive Calls

Recovery agents calling repeatedly within short intervals or contacting the borrower at inappropriate times.

Abusive or Threatening Language

Using offensive language, threats, or intimidation while communicating with the borrower.

Public Embarrassment or Pressure

Contacting family members, colleagues, or neighbors in a way that causes embarrassment or social pressure.

Misrepresentation or False Claims

Recovery agents providing misleading information about legal consequences or falsely claiming authority.

Unauthorized Visits

Recovery agents visiting the borrower's home or workplace in an intimidating or inappropriate manner.

FREED Shield enables borrowers to report such incidents so they can be reviewed and addressed appropriately.

4. Know Your Legal Rights as a Borrower

Borrowers in India are protected by guidelines issued by the **Reserve Bank of India (RBI)** regarding fair practices in debt recovery.

Some important rights include:

Right to Respectful Communication

Recovery agents must communicate with borrowers in a professional and respectful manner. Harassment, threats, or abusive language are not permitted.

Restricted Calling Hours

Recovery agents are generally expected to contact borrowers **only during reasonable hours**, typically between 7:00 AM and 7:00 PM.

No Public Humiliation

Recovery agents are not allowed to publicly shame or embarrass borrowers by contacting unrelated individuals or spreading information about the borrower's debt.

Identity Disclosure

Recovery agents must clearly identify themselves and the lender they represent when contacting borrowers.

Fair Collection Practices

Collection efforts must follow ethical standards and cannot involve intimidation, coercion, or unlawful actions.

If borrowers experience behavior that violates these guidelines, they may raise complaints with the lender or escalate the matter through appropriate channels.

Role of FREED Shield

FREED Shield acts as a **support system for borrowers**, helping them:

- document harassment incidents
- escalate complaints to lenders
- understand their rights during recovery processes
- receive guidance on handling difficult recovery situations.

By providing these tools, FREED Shield helps borrowers navigate debt recovery situations with **greater confidence and protection**.

7. Payment Reminders

Payment reminders help users stay on track with their financial obligations.

Users receive alerts for:

- upcoming EMIs
- credit card due dates
- repayment milestones.

These reminders are designed to **reduce missed payments**, which can negatively impact credit scores.

8. Credit Report Details

Users can also view **detailed information from their credit report**, including:

- active loan accounts
- credit card balances
- repayment history
- credit limits
- lender details.

This transparency helps users better understand their **current financial obligations and credit behaviour**.

Great. I've consolidated **all the questions you collected + the answers from the FREED site** into a **single structured FAQ knowledge base**.

This format works well for **Notion / Confluence / Zendesk / AI training datasets**.

FREED Knowledge Base — FAQs

1. Credit Insights / Credit Score FAQs

What distinguishes a credit report from a credit score?

A **credit report** is a detailed record of your credit history, including all loans, credit cards, repayment behaviour, outstanding balances, and enquiries made by lenders.

A **credit score** is a three-digit numerical summary derived from the credit report. It indicates how likely you are to repay credit on time and helps lenders evaluate your creditworthiness.

If I check my credit score, will it decrease?

No. Checking your own credit score is considered a **soft inquiry**, which does not affect your credit score.

Only **hard inquiries**, such as when you apply for a loan or credit card, may temporarily impact your score.

Will my credit score remain consistent across all credit bureaus?

No. Credit scores may differ across bureaus such as Experian, CIBIL, Equifax, and CRIF because:

- lenders may report data at different times

- each bureau uses slightly different scoring models.

How frequently can my credit score change?

Your credit score can change **whenever new credit information is reported** to the bureau.

Typically, lenders update records every **30–45 days**, so your score may change monthly depending on your repayment activity and credit usage.

Does my credit score get impacted by late payments?

Yes. Late payments are one of the **most significant factors affecting your credit score**.

Missing EMIs or credit card payments can lead to a noticeable drop in your credit score and may remain on your credit report for several years.

Will my credit score decrease if I apply for a new credit card?

It may decrease slightly. When you apply for a credit card, the lender performs a **hard inquiry**, which may temporarily reduce your score.

However, responsible usage and timely payments can improve your score over time.

Does my credit record reflect that I am a guarantor on a loan?

Yes. If you act as a guarantor on a loan, that obligation may appear in your credit report.

If the primary borrower misses payments, it can also impact your credit profile.

Why don't I have a credit score?

You may not have a credit score if:

- you have never taken credit before
- your credit accounts are very new
- your credit accounts have been inactive for a long period.

Such individuals are often categorized as **NTC (New to Credit)**.

2. Debt Resolution Program (DRP) FAQs

How does your Loan Settlement Program work?

FREED's Debt Resolution Program is designed for people who are facing financial hardship and are unable to repay their unsecured debts such as credit cards or personal loans.

FREED evaluates the customer's financial situation and negotiates with lenders to settle debts for a reduced amount through a structured repayment process.

How do I know if loan settlement is the best option for me?

Loan settlement is typically suitable for individuals who:

- have already missed loan payments
- are struggling to meet EMIs
- are facing recovery calls
- cannot repay their loans in full.

FREED evaluates your financial profile to determine whether settlement is an appropriate solution.

Why do we charge a Platform Fee?

The platform fee supports services provided during the program, including:

- debt counseling
- negotiation with lenders
- harassment support

- access to the FREED platform
- credit monitoring tools
- program management.

The fee helps ensure that the settlement process progresses effectively.

Do you guarantee that you will settle all of my loans for a certain percentage?

No. No organization can guarantee settlement for a specific percentage because each lender has its own policies and negotiation outcomes vary.

Settlement results depend on multiple factors including the lender, the account status, and the customer's repayment behaviour during the program.

Is loan settlement legitimate / is it legal?

Yes. Debt settlement is a legitimate financial solution in India for borrowers who cannot repay their loans in full.

It involves negotiating with lenders to accept a reduced payment as full settlement of the outstanding loan.

Who controls the Special Purpose Account where my funds are held while I await settlement?

The funds are held in a **Special Purpose Account (SPA)** managed by an independent trustee.

The customer retains control over the funds and must authorise payments when settlements are finalized.

What is a Special Purpose Account?

A Special Purpose Account is a dedicated account used to accumulate funds that will be used to settle debts with lenders.

Customers make monthly contributions to this account until sufficient funds are available to negotiate settlements.

Will the loan settlement program affect my credit score?

Yes. Loan settlement can negatively impact your credit score because settled accounts may be reported differently than fully paid accounts.

However, once debts are resolved, customers can begin rebuilding their credit profile.

Should I include all my credit cards and personal loans in the program?

This depends on your financial situation and the strategy developed during the program.

In many cases, including multiple debts can help create a more effective settlement plan.

Do interest and late fees continue after I enroll?

Interest and penalties may continue to accrue until a settlement agreement is reached with the lender.

The goal of the program is to negotiate a final settlement that resolves the account.

3. Debt Consolidation Program (DCP) FAQs

What is FREED's loan consolidation program?

FREED’s loan consolidation program combines multiple debts into a **single structured loan with one EMI**, making repayment simpler and easier to manage.

What is a loan consolidation?

Loan consolidation is the process of replacing multiple loans or credit card balances with a **single loan**, allowing the borrower to manage one payment instead of several.

What are the uses of a loan consolidation loan?

A consolidation loan can be used to:

- combine multiple debts
- reduce EMI stress
- simplify repayments
- potentially lower interest costs.

What type of loans can I consolidate with FREED's loan consolidation program?

Typically, unsecured debts such as:

- credit card balances
- personal loans
- app-based lending loans

may be consolidated depending on eligibility.

Can loan consolidation save me money?

In some cases, yes. Consolidation can reduce the monthly EMI burden and simplify repayment, though total savings depend on the loan terms and tenure.

Why should I get a consolidated loan to pay off my credit cards?

Credit cards often have **very high interest rates**. Consolidating them into a structured loan can help reduce interest costs and simplify repayment.

Can I keep using my credit cards while enrolled in the program?

In most cases, customers are advised to **avoid taking additional credit** while enrolled in the program to prevent further debt accumulation.

How will loan consolidation affect my credit score?

Consolidation itself does not harm your credit score. In fact, successfully managing the consolidated loan and making timely payments may improve your credit profile.

Can I get a consolidated loan with a low credit score?

Eligibility depends on lender policies. Some borrowers with lower scores may still qualify depending on their financial profile and repayment capacity.

How long does it take to get approved for the loan consolidation program?

Approval timelines vary based on lender processes and documentation requirements.

4. FREED Shield FAQs

What is FREED Shield?

FREED Shield is a support feature designed to help customers handle harassment or unfair recovery practices by lenders or recovery agents.

How does FREED Shield protect me from harassment?

Customers can report harassment incidents and upload supporting evidence, which can then be escalated to lenders for review and resolution.

What types of recovery agent harassment can I report through FREED Shield?

Customers can report incidents such as:

- threatening phone calls
- abusive language
- repeated harassment
- unprofessional recovery behaviour.

What happens after I upload proof of recovery agent harassment?

The submitted evidence is reviewed and may be escalated to the lender to address the issue.

Is FREED Shield a legal service?

FREED Shield provides support and escalation mechanisms but is not a legal representation service.

Can FREED Shield help if recovery agents visit my home or office?

The feature provides guidance and escalation support for such situations, helping customers report inappropriate recovery practices.

Will my evidence be shared with my lender automatically?

Evidence may be reviewed and escalated to lenders when necessary to address the issue.

Is uploading evidence of recovery agent harassment mandatory?

No. Uploading evidence is optional but can help strengthen a complaint.

What formats can I upload as proof of harassment?

Customers may upload screenshots, call recordings, messages, or other relevant documents.

Will reporting recovery agent harassment affect my credit score?

No. Reporting harassment through FREED Shield does not impact your credit score.

Below is a **clean knowledge-base section on Credit Score** that fits well with the rest of your FREED documentation. I structured it so it can work for **customers, internal teams, and AI assistants**.

Credit Score — Understanding Your Credit Health

1. What is a Credit Score?

A **credit score** is a three-digit number that represents a person's **creditworthiness**, meaning how likely they are to repay borrowed money on time.

Lenders such as banks, NBFCs, and fintech companies use this score to evaluate the risk of lending money to an individual. A higher credit score generally indicates responsible credit behavior and increases the chances of loan or credit card approval.

Credit scores are calculated based on information from your **credit report**, which includes details such as your loans, credit cards, repayment history, and credit utilization.

2. What is the Credit Score Range?

In India, most credit bureaus use a **credit score range between 300 and 900**.

Score Range	Credit Standing
750 – 900	Excellent
700 – 749	Good
650 – 699	Fair
550 – 649	Poor
300 – 549	Very Poor
-1 / NH	No Credit History

Higher scores indicate lower credit risk to lenders.

3. What Each Credit Score Range Indicates

750 – 900 (Excellent)

- Indicates very strong credit behavior.
- High probability of loan approval.
- Borrowers may qualify for **lower interest rates and better credit terms**.

Typical profile:

- Consistent EMI payments
- Low credit card utilization
- Long credit history.

700 – 749 (Good)

- Considered a good credit score by most lenders.
- Loan approvals are likely, though interest rates may vary.

Typical profile:

- Mostly timely repayments
- Moderate credit usage.

650 – 699 (Fair)

- Credit profile shows moderate risk.
- Some lenders may approve loans but may charge **higher interest rates**.

Typical profile:

- Occasional late payments
- High credit utilization.

550 – 649 (Poor)

- Indicates significant credit risk.
- Loan approvals become difficult.

Typical profile:

- Multiple late payments
- High outstanding balances.

300 – 549 (Very Poor)

- Very high credit risk.
- Most lenders will reject loan applications.

Typical profile:

- Defaults
- Write-offs or settlements.

-1 or NH (No History)

- No credit history exists for the borrower.
- This category is often referred to as **NTC (New to Credit)**.

Typical profile:

- Never taken a loan or credit card.

4. Key Factors That Affect Your Credit Score

Credit bureaus calculate your credit score based on several key factors.

1. Payment History

This is the **most important factor** affecting your credit score.

It reflects whether you pay your EMIs and credit card bills on time.

Example:

Behavior	Impact
Paying EMIs on time every month	Positive
Missing credit card payments	Negative
Loan defaults	Major negative impact

2. Credit Utilization Ratio

This measures how much of your available credit you are using.

Example:

If your credit card limit is ₹1,00,000:

Spending	Utilization	Impact
₹20,000	20%	Healthy
₹50,000	50%	Moderate
₹90,000	90%	Negative

Experts recommend keeping utilization **below 30–40% of your credit limit**.

3. Credit Mix

Lenders prefer borrowers who have experience managing different types of credit.

Examples of credit types:

Secured Loans

- Home loan
- Auto loan
- Gold loan

Unsecured Loans

- Personal loan
- Credit card
- BNPL loans

A balanced mix of secured and unsecured credit can improve your credit profile.

4. Length of Credit History

The longer your credit history, the more reliable your credit profile appears.

Example:

Credit Age	Impact
6 months	Limited credit history
3–5 years	Stable credit behavior
10+ years	Strong credit profile

Closing old credit accounts may reduce the average credit age.

5. Credit Enquiries

Every time you apply for a loan or credit card, the lender performs a **hard inquiry** on your credit report.

Example:

Activity	Impact
Checking your own score	No impact
Applying for multiple loans in a short time	Negative impact

Too many loan applications can signal financial stress to lenders.

5. Where Can You Check Your Credit Score?

Consumers in India can check their credit score through several credit bureaus.

India has **four licensed credit bureaus**.

Credit Bureau	Description
CIBIL (TransUnion CIBIL)	Most widely used bureau in India
Experian	Global credit bureau with operations in India
Equifax	One of the oldest global credit bureaus
CRIF High Mark	Often used by NBFCs and microfinance institutions

Consumers can check their credit score through bureau websites or financial platforms.

Why Monitoring Your Credit Score Matters

Regularly checking your credit score helps you:

- detect errors in your credit report
- track improvements in your credit health
- prepare for loan applications
- understand how financial behavior affects your credit profile.

Monitoring your credit score is similar to a **financial health check**, helping you stay informed and make better credit decisions.

Here is a **knowledge-base section you can add after the Credit Score explanation**.

10 Common Mistakes That Can Damage Your Credit Score

Many borrowers unknowingly hurt their credit score through everyday financial behavior. Understanding these common mistakes can help you maintain a healthy credit profile and improve your chances of getting loans at better interest rates.

1. Missing EMI or Credit Card Payments

Payment history is the **most important factor affecting your credit score**.

Missing even a single EMI or credit card payment can significantly lower your score.

Example

If your credit card bill is due on the 5th of the month and you pay it on the 25th, the lender may report the payment as **late**, which can negatively impact your credit score.

Tip:

Set payment reminders or enable auto-debit for EMIs.

2. Paying Only the Minimum Amount on Credit Cards

Paying only the **minimum due amount** may prevent late fees, but the remaining balance continues to accumulate interest.

Over time, this increases your **credit utilization ratio**, which can lower your credit score.

Example

If your credit card limit is ₹1,00,000 and your outstanding balance is ₹80,000, your utilization ratio becomes **80%**, which is considered risky by lenders.

Tip:

Try to keep credit utilization below **30–40% of your limit**.

3. Using Too Much of Your Credit Limit

High credit utilization signals that you may be financially stretched.

Example

Credit Limit	Outstanding	Utilization
₹1,00,000	₹30,000	Healthy
₹1,00,000	₹90,000	High risk

High utilization over long periods can reduce your credit score.

4. Applying for Too Many Loans or Credit Cards

Each time you apply for credit, the lender performs a **hard inquiry** on your credit report.

Multiple loan applications within a short time can signal financial stress.

Example

Applying for 5 credit cards in one month may lead to multiple credit inquiries and temporarily lower your score.

5. Closing Old Credit Cards

Older credit accounts contribute to the **length of your credit history**, which positively impacts your credit score.

Closing your oldest credit card may reduce your average credit age.

Example

If your oldest credit card is 10 years old and you close it, your average credit history may drop significantly.

6. Becoming a Guarantor for Risky Loans

When you act as a guarantor, the loan becomes part of your financial responsibility.

If the primary borrower fails to repay the loan, it may negatively affect **your credit score**.

Example

If a friend defaults on a loan where you are the guarantor, the lender may report the default in your credit report.

7. Ignoring Errors in Your Credit Report

Credit reports may sometimes contain **incorrect or outdated information**.

Common errors include:

- loans marked unpaid despite full repayment
- duplicate loan entries
- incorrect personal details.

Such errors can harm your credit score.

Tip:

Check your credit report periodically and dispute incorrect entries.

8. Defaulting or Settling Loans

Loan defaults or settlements can significantly reduce your credit score.

When a loan is marked as **settled instead of fully paid**, it indicates that the lender accepted less than the full amount owed.

Example

If you settle a loan of ₹1,00,000 by paying ₹60,000, the account may be reported as **settled**, which can negatively impact your credit profile.

9. Not Using Credit at All

Surprisingly, **not using credit at all** may also prevent you from building a strong credit score.

If lenders cannot see any credit history, they cannot evaluate your repayment behavior.

This situation is often categorized as **NTC (New to Credit)**.

10. Co-Signing or Joint Loans Without Care

In joint loans or co-signed loans, both borrowers share responsibility for repayment.

If the other borrower misses payments, it can affect **both credit profiles**.

Example

If you take a joint home loan and your co-borrower misses EMIs, your credit score may also be affected.

How to Maintain a Healthy Credit Score

To maintain a good credit profile:

- Pay EMIs and credit card bills on time
- Keep credit card utilization below **30–40%**
- Avoid applying for multiple loans simultaneously

- Maintain older credit accounts when possible
- Monitor your credit report regularly.

Healthy credit habits help build a strong financial profile and increase the likelihood of **loan approvals, better interest rates, and higher credit limits**.